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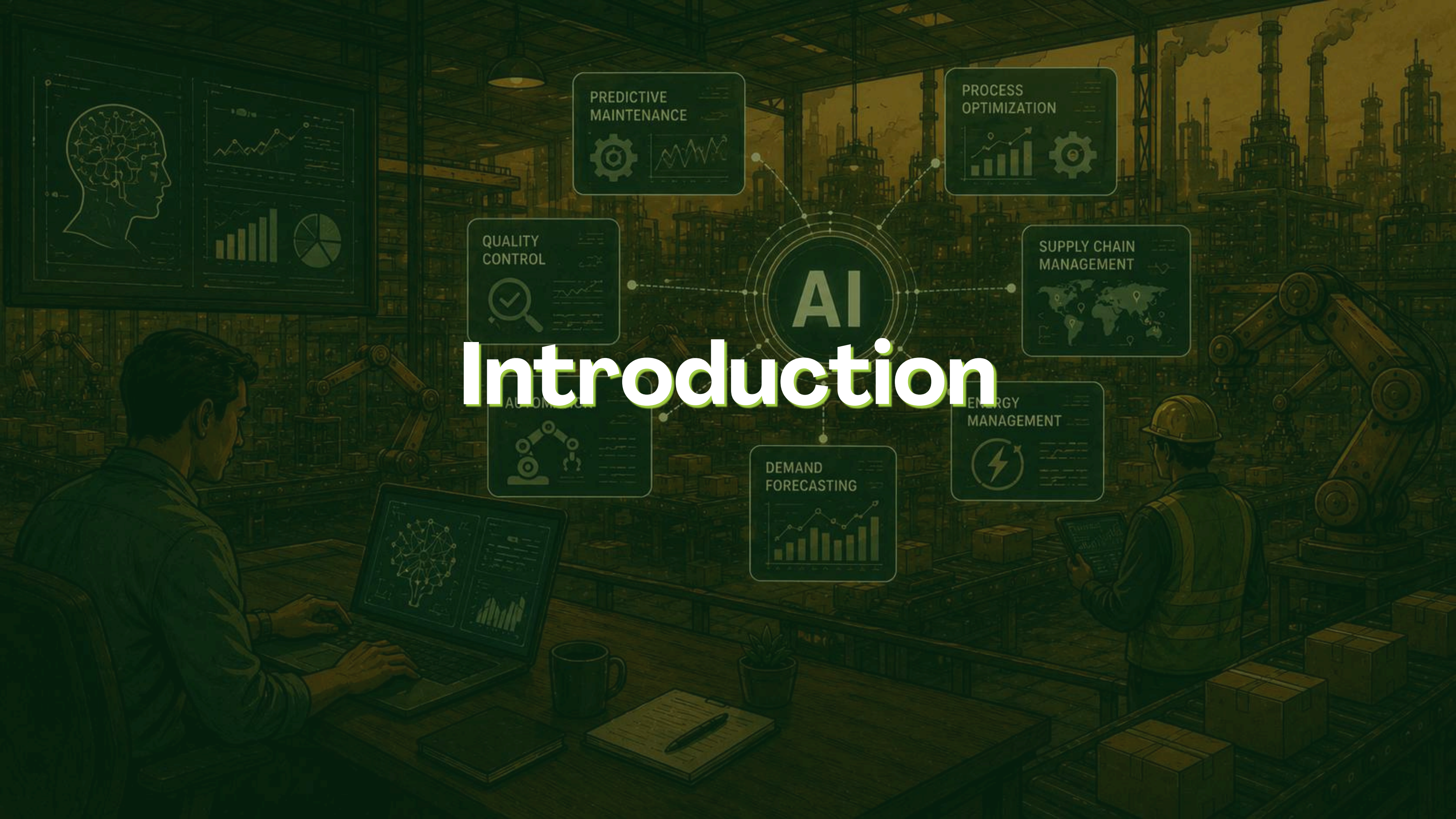
Artificial Intelligence in India

Landscape, Opportunities, and Strategic Outlook

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Introduction



Introduction

As of 2026, the AI landscape has shifted from speculative hype to a functional **AI economy** valued at **\$13.5 billion**

The technology has evolved from simple conversational interfaces into a foundational component of global infrastructure

AI is evolving from **simple assistants** into **autonomous agents** that can independently perform complex, multi-step tasks across industries like finance and healthcare

At the same time, specialized startups are reshaping markets by building **niche AI solutions** while major tech firms continue providing the underlying infrastructure

Current & Upcoming Market

The Indian Artificial Intelligence landscape is currently navigating a period of **hyper-growth**, fundamentally shifting from a service-based model to a product-and-infrastructure powerhouse

Market Value (As of 2026)

\$13.5 billion

Market Value (By 2036)

\$90 billion

The Indian AI economy is currently outpacing historical tech adoption cycles at an unprecedented rate. After a foundational period where the market nearly doubled rising from **\$2.97 billion in 2020** to **\$7.63 billion in 2024** we are now seeing the fruits of deep industrial integration



India's AI Inflection Point

Built on Digital Rails, Poised for Intelligent Scale



1. DIGITAL PUBLIC INFRASTRUCTURE



Aadhaar

Digital identity for billions



UPI

Real-time digital payments at massive scale



ONDC

Open digital commerce network

Interoperable digital rails connecting citizens, businesses and institutions.



2. DATA & SCALE ADVANTAGE

- ✓ Massive volumes of structured digital data
- ✓ Lower cost of deploying AI-powered services
- ✓ National-scale platforms enable rapid AI adoption
- ✓ Secure, consent-based data ecosystem

Existing DPI dramatically reduces deployment costs and time-to-scale.



3. DEMOGRAPHIC STRENGTH

- ✓ Young population with high digital adoption
- ✓ Rapidly growing internet penetration
- ✓ One of the world's largest developer communities
- ✓ Strong market demand across sectors

A unique combination of talent, technology and market potential.



Why India Is Emerging as AI's Most Scalable Growth Market

India's Pivotal AI Moment:

- Strong structural advantages drive large-scale adoption.

Key Driver : The Demographic Advantage

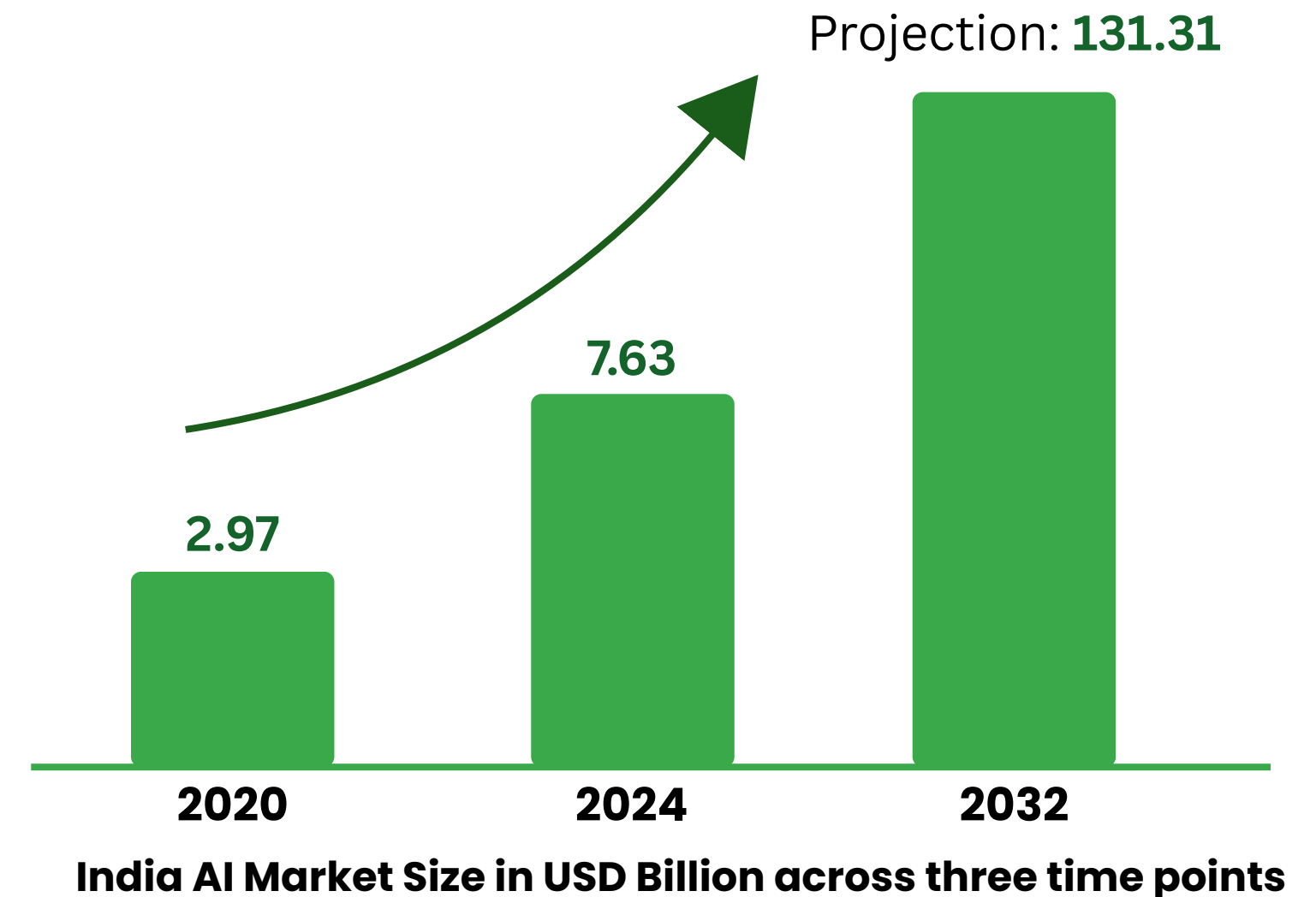
- ~65% of the population is under 35.
- Creates a young, digitally adaptive workforce.

Key Driver : Massive Digital Identity Infrastructure

- Over 1.4 billion citizens enrolled in Aadhaar.
- Generates ~2.5 billion authentication transactions monthly.

Key Driver : Large and Expanding Developer Base

- Current: Over 21 million software developers (2nd largest globally).
- Projected: Exceeding 57 million developers by 2030.



Source: Competition Commission of India (CCI)



The Perfect Storm: Digital Acceleration Meets Demographic Power

India's next wave of economic growth is closely tied to the expansion of its digital ecosystem. Over the past decade, the country has experienced one of the fastest digital transformations in the world.



Internet connectivity growth:

India surpassed 1 billion internet subscribers in 2025, up from approximately 251 million in 2014.



5G adoption:

The country now has hundreds of millions of 5G users, making it one of the largest next-generation connectivity markets globally.



Expansion of digital infrastructure:

Government and private sector investments have built large-scale data centres and cloud infrastructure capable of supporting AI workloads.



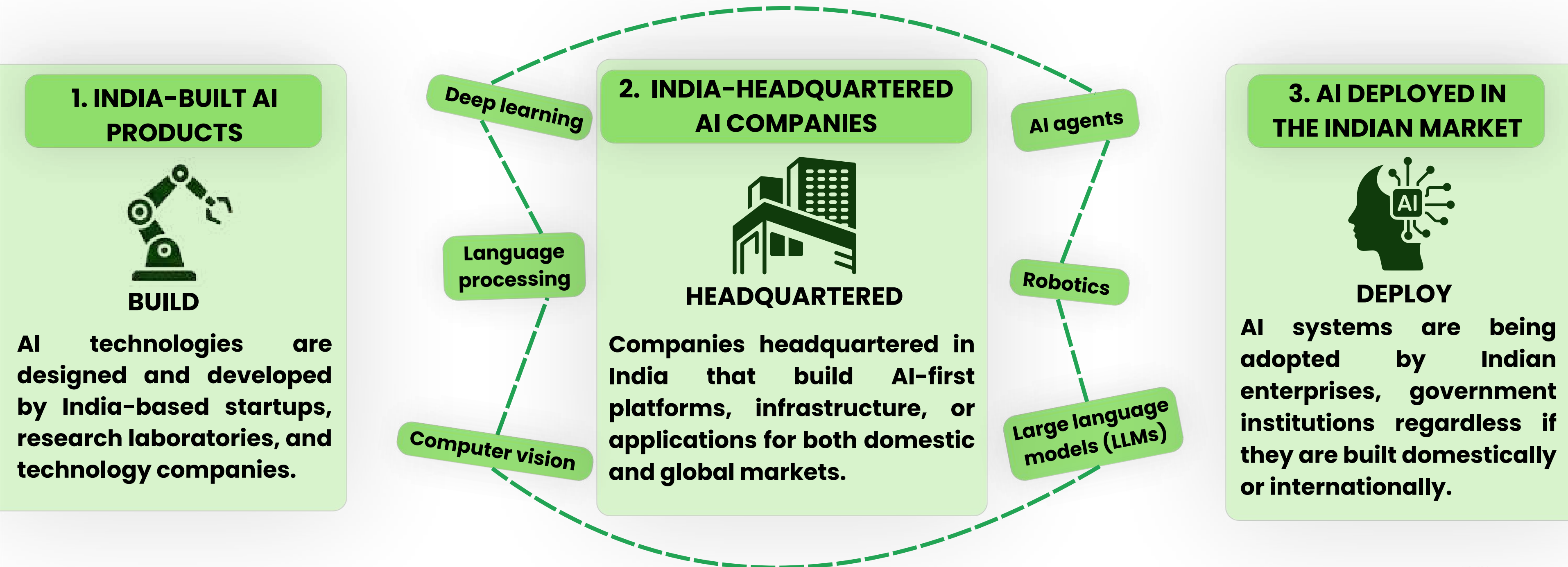
High mobile penetration:

Affordable smartphones have enabled digital access across urban and rural populations.



Decoding the AI Ecosystem: What 'AI in India' Really Encompasses

For this report, "AI in India" refers to three overlapping segments of activity:



The Engine Beneath the Intelligence: India's Digital Public Infrastructure

India's AI trajectory is closely tied to its Digital Public Infrastructure (DPI). Systems such as Aadhaar, UPI, and ONDC form the foundational digital layer on which AI services can operate.



Universal digital identity
through Aadhaar



Real-time payments
through UPI



Open digital commerce
through ONDC



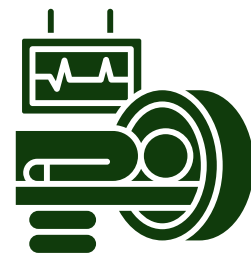
Expansion of broadband
and 5G networks

Key Areas for AI-Driven Services



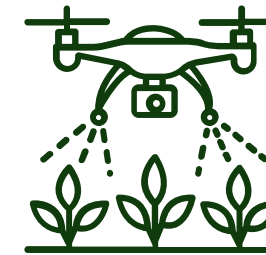
Digital banking and credit scoring

AI-driven algorithms assess
credit risk and personalize
financial products.



Healthcare diagnostics

Machine learning models
analyze medical imagery
for earlier and accurate
diagnoses.



Agricultural monitoring

Precision farming with
satellite data analysis for
optimal crop yields.



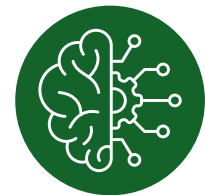
Welfare distribution

Optimized supply chain and
targeted distribution
ensuring efficient aid.

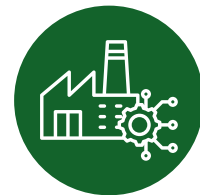


From Payments to Public Health: Where AI Is Creating Real Impact

AI adoption in India spans multiple industries, each leveraging AI to address specific economic and social challenges.



AI Adoption



Industry Integration



Economic & Social Impact



Fintech

AI is widely used in digital payments, fraud detection, credit scoring, and financial risk analysis.

Fintech companies analyse transaction data from platforms to develop personalised financial products.



Healthcare

AI technologies are increasingly applied in medical imaging, diagnostics, and predictive healthcare systems.

Startups are using AI to detect diseases such as cancer through automated image analysis.



Agriculture

AI-based agricultural platforms analyse satellite imagery, weather data, and soil conditions to predict crop yields.

They provide advisory services to farmers for better decision-making and productivity.



Education

AI tools are helping personalise learning experiences, automate grading systems, and provide adaptive educational platforms for students.



Government Services

Public sector initiatives increasingly incorporate AI to optimise service delivery, such as forecasting healthcare demand or improving welfare distribution systems.

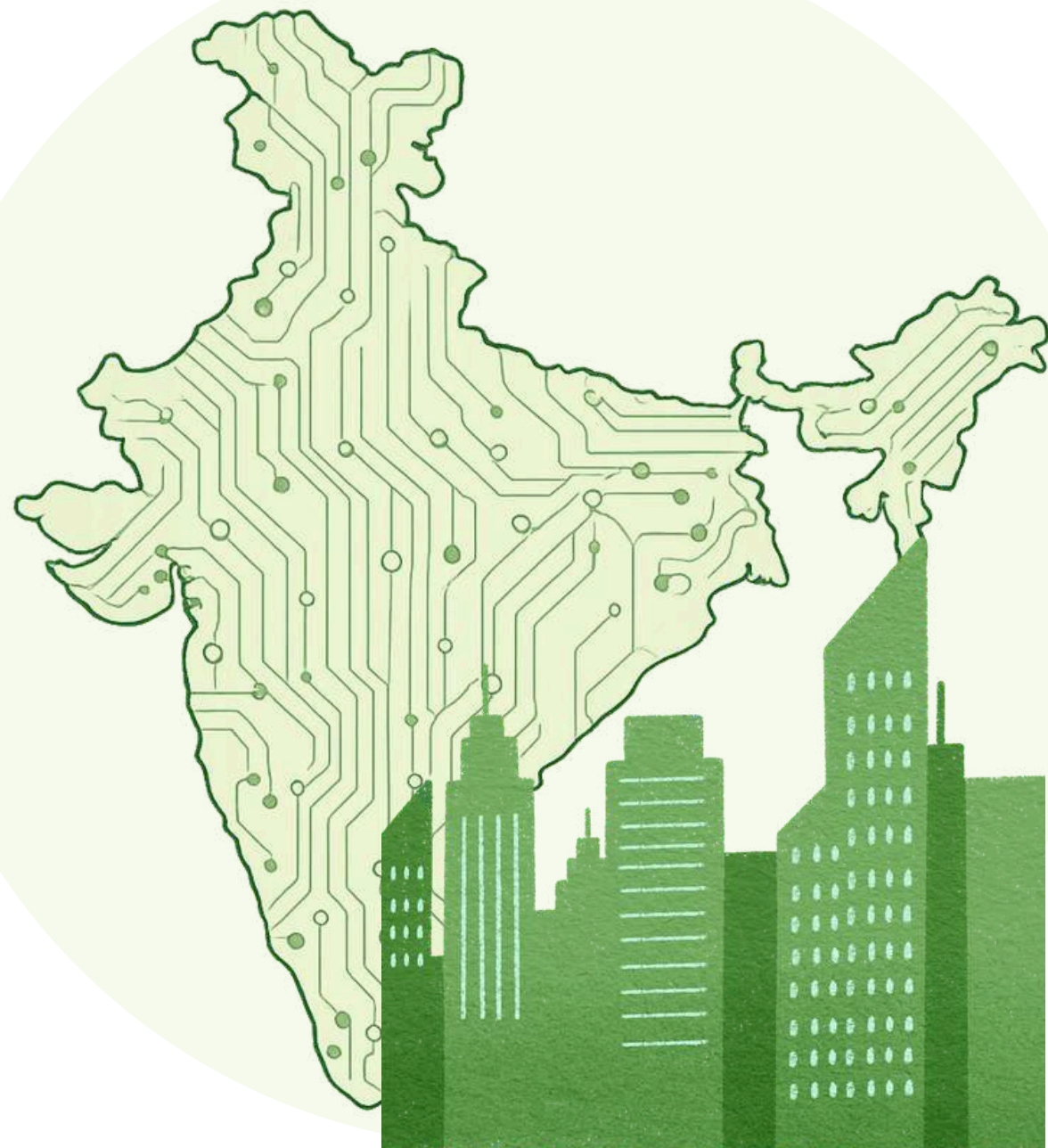


Key Insight

India's AI growth is shifting from experimentation toward measurable sector-level impact, driving efficiency, inclusion, and innovation across the economy.



From Digital Nation to AI Powerhouse: The Road Ahead



India stands at a critical moment in the global evolution of artificial intelligence. The convergence of digital public infrastructure, a large and growing developer base, rapid enterprise adoption, and supportive government policies creates a powerful foundation for AI innovation.



As AI technologies mature and become more accessible, India is positioned to become not only a major consumer of AI technologies but also a significant global producer of AI innovation.



Understanding the structure, opportunities, and challenges of India's AI ecosystem will therefore be essential for investors, entrepreneurs, policymakers, and researchers seeking to participate in one of the most dynamic technology markets of the coming decade.





01 AI Market Size and Industry Growth

- NASSCOM-BCG Report on AI Adoption in India – Market projections estimating India's AI sector reaching approximately \$17 billion by 2027.
- Stanford HAI AI Index Report (2025) – Global AI vibrancy rankings and international comparisons.



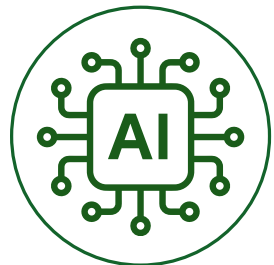
02 Startup Ecosystem and Venture Funding

- Tracxn India AI Startup Ecosystem Reports – Startup counts and ecosystem analysis.
- NASSCOM DeepTech Startup Reports – AI's share of India's deep-tech companies and funding.



03 Developer Community and Talent Pipeline

- GitHub Octoverse Report – Developer growth trends and projections of India's developer population reaching over 57 million by 2030.
- Stack Overflow Developer Survey – Insights on developer skills and technology adoption.



04 Enterprise AI Adoption

- Deloitte – "State of AI in India" Report – Enterprise AI experimentation and generative AI adoption rates.
- McKinsey Global AI Survey – Global enterprise adoption trends, including Indian organisations.



05 Government Policy and AI Initiatives

- Government of India – IndiaAI Mission documentation
- Ministry of Electronics and Information Technology (MeitY) policy papers and AI strategy documents





Major Applications

Major Applications



1. Healthcare & Medical Diagnostics

- ✓ AI analysis of X-rays, CT scans, and medical images
- ✓ AI-powered clinical decision support systems
- ✓ Predictive analytics for disease outbreaks and patient risk scoring
- ✓ Telemedicine platforms integrated with AI chatbots

Qure.ai – uses AI to analyze radiology scans and detect diseases

SigTuple – AI-powered pathology analysis and diagnostic tools



2. FinTech & Banking

- ✓ Real-time fraud detection systems
- ✓ AI-based credit scoring models
- ✓ Automated loan underwriting systems
- ✓ AI-powered chatbots and assistants for customer service

Arya.ai – AI platforms for banks and insurance companies for risk modelling and fraud detection



Major Applications



3. Agriculture (AgriTech)

- ✓ Crop disease detection using computer vision
- ✓ AI-driven weather prediction and yield forecasting
- ✓ Smart irrigation systems that use IoT sensors and AI to optimize water usage
- ✓ Pest detection and monitoring systems

CropIn – AI platform that digitizes farm data and provides crop intelligence.



4. Education (EdTech)

- ✓ AI tutors and adaptive learning platforms
- ✓ Automated grading systems
- ✓ Personalized course recommendations, helping students choose learning paths aligned with their goals
- ✓ AI-based doubt-solving systems, available 24/7

Duolingo – AI-based language learning platform delivering adaptive lessons and real-time feedback



Major Applications



5. Marketing & Business Automation

- ✓ AI tools for ad targeting
- ✓ Campaign optimization platforms
- ✓ Automated sales intelligence tools
- ✓ Customer segmentation and personalization
- ✓ Automated content generation

Pixis – AI platform for growth marketing optimization.



6. Customer Support & Conversational AI

- ✓ Automated customer support chatbots that handle FAQs, complaints, and service requests
- ✓ AI voice assistants for call centers
- ✓ Multilingual AI assistants
- ✓ Conversation analytics tools

Yellow.ai – Global enterprise AI platform that automates customer and employee experiences across 135+ languages.



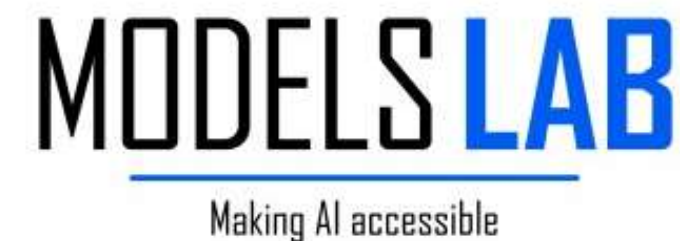
Upcoming Startups



Orbo AI

Orbo AI is a Mumbai-based startup specializing in AI-powered virtual try-on technology for the beauty and personal care industry. By enabling digital testing of makeup and hairstyles for less than ₹1 per try, the company significantly boosts conversion rates for e-commerce brands

- Provides virtual makeup and virtual hairstyling solutions.
- Allows users to try cosmetic products digitally with a single click.
- Costs less than ₹1 per virtual try, making it highly affordable for brands.



Models Lab

ModelsLab is a one-stop platform for all AI development needs. Instead of subscribing to multiple AI tools and services, developers can access a wide range of AI capabilities through a single platform. The company offers APIs for building AI applications, making it easier for developers and startups to integrate AI into their products.

Another impressive aspect of ModelsLab is that it is a fully bootstrapped and profitable startup. The founder is also planning to invest \$1 million to build an AI data center, which will improve the platform's efficiency and enable the addition of more AI services in the future.



Upcoming Startups



NEURALGARAGE™

Neural Garage

NeuralGarage is a Bengaluru-based AI company founded in 2021 by Mandar Narke, Anirban Banerjee, Subho Debnath, and Subhash Shah. The company is solving a common problem of misalignment between lip movements and audio in dubbed content.

When movies or shows are dubbed into another language, the facial expressions and lip movements often do not match the spoken dialogue. NeuralGarage addresses this issue using its AI technology called Visual Dub



Niqo Robotics

Niqo Robotics is an AI-driven agriculture startup focused on precision spraying technology for farmers. The system uses AI-powered cameras mounted on tractors to identify plants that require pesticide spraying

The AI system performs several tasks simultaneously:

- Captures images of crops in real time.
- Analyzes plant health using AI.
- Determines whether spraying is necessary
- Activates spray only when required.



Upcoming Startups



Sarvam AI

Sarvam AI is focused on solving one of the biggest challenges in AI support for Indian languages. Many global AI models are primarily trained on English data, making them expensive and inefficient for other languages.

To solve this problem, Pratyush Kumar and Vivek Raghavan launched Sarvam AI in 2023.

The company developed OpenHathi, a Hindi-focused LLM built on top of Meta's LLaMA model.



Krutrim AI

Krutrim AI, founded by Bhavish Aggarwal (Ola founder) in 2023, is one of India's most ambitious AI startups. The company raised \$50 million in January 2024, becoming India's first AI unicorn.

Krutrim aims to build a complete AI ecosystem for India, including:

- Large Language Models for Indian languages
- AI applications built on these models

Although the company has faced some controversies regarding its claims, it continues to work toward building India's own AI technology stack.



Where the Money Lies in India's AI Ecosystem ?

Year	Total Tech Funding (\$ Bn)	AI Sector Allocation (\$ Mn)	Deal Count (AI Specific)	Market Phase
2019	14.5	450	~110	Pre-pandemic experimentation
2020	11.5	550	~135	Digital adoption surge
2021	30.2	1050	~190	Liquidity-driven bubble
2022	24	900	~175	Valuations correction
2023	11	650	~145	The "Funding Winter"
2024	12.7	780.5	165	Generative AI inflection
2025	10.5	1220	188	Structural re-rating

Inc42 reports that from 2020–2025, ~80% of India's AI funding (~\$1.6B of \$1.8B) was into "application-layer" startups (FinTech, legaltech, healthcare AI tools, GenAI content, etc.). Major recipients include AI-driven enterprise SaaS, healthcare diagnostics (e.g. Qure.ai) and generative AI tools



Active Investors



Accel India



Peak XV



Lightspeed India



Blume Ventures

Top Funds (By deal count)

Crunchbase reports Accel led ~14 AI-related deals in late 2025 (often as co-lead). Peak XV (the rebranded Sequoia India/SEA) was similarly active. Tech news note that Lightspeed, Accel, Peak XV/Sequoia India, General Catalyst, a16z and Iconiq all featured among busiest global AI backers

Notable Names

Peak XV just raised a \$1.3B India/SE Asia fund with AI as a key focus. Lightspeed and Accel have expanded their India teams. SoftBank's Vision Fund and Tiger Global have led large AI-related deals abroad, and continue to scout Indian AI (e.g. SoftBank co-led a \$70M round in 2025)

Revenue Models

B2B SaaS / Subscription

Many Indian AI companies sell software-as-a-service to enterprises (e.g. Mad Street Den's Vue.ai in retail, or SigTuple in healthcare diagnostics). They often earn recurring license or usage fees per seat/agent. This model works well for tools that improve efficiency (AI analytics dashboards, compliance bots, etc.)

API / Usage Pricing

Some offer APIs or cloud-based AI platforms (e.g. NLP, vision APIs) priced per call or data volume. For instance, companies like Haptik (chatbot) use tiered pricing by usage. This scales with customer growth

Outcome-Based Models

Certain B2B AI firms tie fees to results. For example, an AI sales assistant startup might charge based on leads generated or revenue uplift. While riskier for the startup, this can unlock budgets if the AI clearly delivers ROI. In regulated sectors (like fintech or health), outcome-based models require heavy validation (and so far less common)

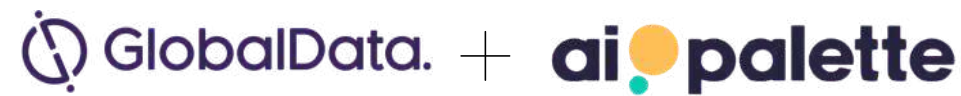


M&A and Strategic Exits

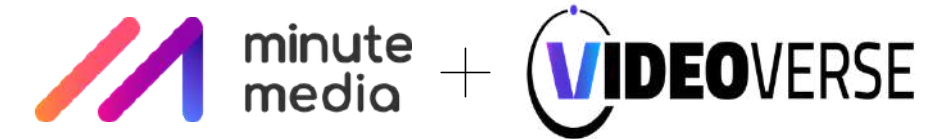
M&A activity in Indian AI is modest but rising. Tracxn data report six AI-sector acquisitions in India during 2025 (vs three in 2024)



Automation Anywhere (US) acquired Aisera (which has significant India ops) in late 2025



GlobalData (UK) acquired AI Palette in March 2025



Minute Media (US media co) bought VideoVerse in Sept 2025

The presence of foreign acquirers (Automation Anywhere, GlobalData, Minute Media) shows global tech firms are selectively buying Indian AI startups

IPO Readiness & Regulatory Environment

Indian AI ventures have yet to see any domestic unicorn IPO purely as “AI companies”. However, some AI leaders are eyeing public markets



Reportedly planning IPOs in 2026.

India's Evolving IPO Landscape for AI Startups

SEBI's startup-friendly reforms, including simplified filings and flexible ESOP rules, have fueled India's AI IPO boom. However, investors now prioritize strong unit economics, governance, and clear profitability over hype, especially for AI startups



Economic Impact

The background illustration is a rich, detailed scene depicting a futuristic urban environment. In the foreground, a woman with glasses works on a laptop at a desk, with a robotic arm nearby. The laptop screen shows a brain diagram and a bar chart. To her right, a delivery person on a scooter with a red lightning-bolt backpack is in motion. Further right, a man operates a control panel with multiple screens and buttons, with cardboard boxes on a conveyor belt in front of him. In the middle ground, two men in business attire are engaged in a conversation. The background features a large glass-walled office building where people are working at computers. A train travels on an elevated track, and a construction crane is visible in the distance. Several large digital billboards are scattered throughout the scene, displaying various icons: a Bitcoin symbol with a rising bar chart, a globe with a network diagram, a glowing lightbulb, and a shopping cart with a medical cross and a factory. The overall color palette is dominated by dark blues, greys, and muted greens, with a yellowish light source creating a hazy, atmospheric effect.

GDP Contributions and Macroeconomic Forecasts

The potential for AI to boost India's GDP is significant, with various models projecting a contribution ranging from \$500 billion to nearly \$1 trillion by the mid-2030s. This growth is primarily driven by improvements in capital efficiency, labor productivity, and the emergence of new high-value digital products

Forecasted Contributions of AI to India's Economy

	Projected Contribution	Target Year	Primary Economic Driver
McKinsey Global Institute	\$957 Billion	2030	Productivity gains and labor transformation
nasscom	\$967 Billion	2035	Digital economy and IT services evolution
WORLD ECONOMIC FORUM	\$1 Trillion	2030	Inclusive growth in agriculture and healthcare
EY Building a better working world	2.61% - 5.43%	2030	Incremental annual GDP growth from GenAI
INTERNATIONAL MONETARY FUND	1.3% - 4.0%	2035	Total Factor Productivity (TFP) shocks



Productivity Gains in the Services Sector

AI is driving major productivity gains across the services sector, with the highest impact seen in call center management (80%) and software development (61%). Businesses are using AI to automate routine tasks, improve customer interactions, and accelerate content creation and coding processes. Overall, AI is enabling faster operations, personalization, and smarter decision-making across customer service, marketing, and development functions.

	Productivity Enhancement (%)	Nature of Structural Impact
Call Center Management	80%	Automation of routine queries and real-time sentiment analysis
Software Development	61%	Automated code generation, testing, and debugging
Content Development	45%	Synthesizing marketing materials and localized media
Customer Services	44%	Personalized AI assistants and rapid resolution systems
Sales & Marketing	41%	Predictive lead scoring and hyper-personalization



Evolution of IT Services

	FY26 Projected Revenue (USD)	Growth Rate (YoY)
IT Services	\$149 Billion	4.1%
Engineering R&D (ER&D)	\$63 Billion	7.7%
Business Process Management (BPM)	\$59 Billion	7.0%
Customer Services	\$23 Billion	5.71% (CAGR)
Sales & Marketing	\$21 Billion	N/A
Total Tech Industry	\$315 Billion	6.1%

The IT services industry is projected to reach \$315 billion by FY26, led by IT Services with revenues of \$149 billion. Overall, the sector's steady 6.1% growth reflects the expanding role of digital transformation, software solutions, and technology-driven business services



Financial Inclusion

Impact Metric	AI-Enabled Outcome	Performance vs. Traditional Baseline
Risk Prediction Accuracy	40% improvement	Static historical data limitations
Decision Speed	Real-time / Seconds	3-5 Business Days processing time
Default Rate Reduction	30% drop	Higher default risk due to limited data
Credit Access	20-30% more approvals	High rejection rate for "thin-file" borrowers
Operational Costs	42% reduction	High manual underwriting overhead

AI-driven financial inclusion is significantly improving the efficiency and accessibility of financial services. By enabling real-time decision-making and enhancing risk prediction accuracy by 40%, AI helps institutions reduce default rates and operational costs. It also expands credit access, especially for underserved borrowers with limited financial history, leading to 20-30% more approvals. Compared to traditional systems, AI-based models offer faster, smarter, and more cost-effective financial solutions.



Labor Market: Jobs Displaced vs. Jobs Created

The labor market is undergoing a major transformation with AI driving both workforce disruption and new employment opportunities. Strong AI adoption has increased demand for skilled professionals, reflected in a 28% wage premium and over 2 million workers being upskilled. Despite automation, the industry continues to experience positive net hiring growth, indicating that AI is reshaping jobs rather than eliminating them entirely. Overall, the market is shifting toward high-skill, AI-first employment and continuous workforce adaptation

Workforce Metric	Status / Value	Market Implication
Skills Penetration	2.5x Global Average	Dominant hub for AI talent demand
AI Wage Premium	28%	Strong incentive for white-collar upskilling
Professionals Upskilled	2 Million	Large-scale workforce pivot to "AI-first"
Net Hiring Growth	2.3%	Industry remains a net hirer despite automation
AI Job Vacancies	6.5% of total	Decisive shift toward high-skill employment



Overall Comparison

Dimension	 USA	 INDIA
Ecosystem Status	Global leader	Emerging, high growth
Research Institutions	Stanford, MIT, Carnegie Mellon	IITs, IISc
Research Output	Very high (global leader)	Growing
Innovation Type	Foundational AI (LLMs, deep learning)	Application-driven AI
Major Companies/Startups	OpenAI, Google, Microsoft, Anthropic	Sarvam AI, Krutrim, Yellow.ai, Qure.ai
No. of AI Startups	4000+	1500
Market Maturity	Highly mature	Emerging
Internet Users	~300 million	900+ million
AI Adoption	Advanced	Rapidly growing
Competition	Very high	Moderate
Core Strength	Cutting-edge innovation	Scalable, cost-effective solutions



Government Policies



Executive Summary

India's transition from AI adopter to sovereign AI builder a full-stack domestic ecosystem spanning infrastructure, data, talent, and governance.

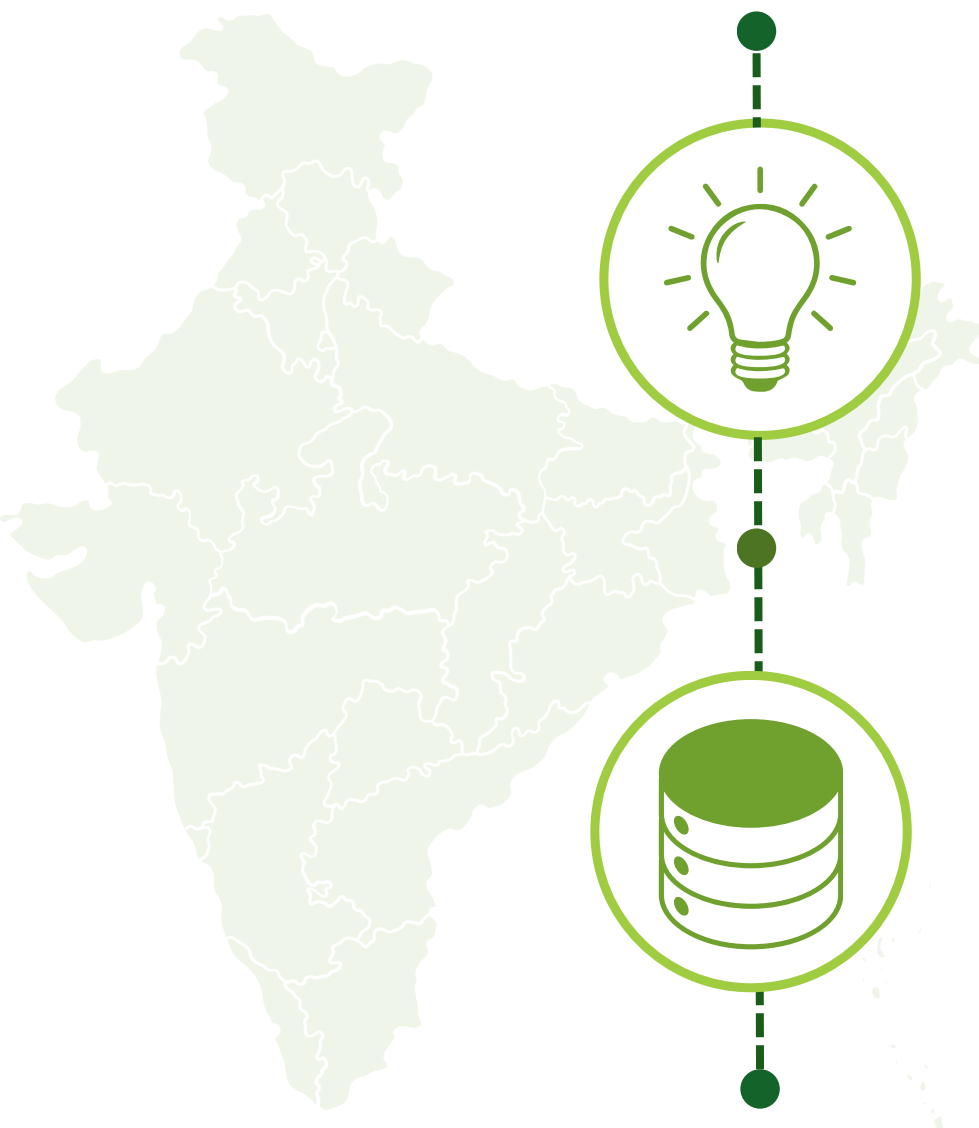
01 Sovereign AI Mission India is transitioning from an AI adopter to a sovereign AI builder, developing a full-stack domestic ecosystem across infrastructure, data and governance ₹10,371.92 Cr	02 Seven-Pillar Framework Reduces entry barriers and enables scale. Key interventions include subsidised GPU access, the AIKosh national data platform, and indigenous model development 38,000+ GPUs 10,000+ datasets	03 BharatGen Model Development of indigenous large language models supporting 22 Indian languages and reducing dependence on foreign AI infrastructure 22 languages
04 Decentralised Hubs Execution is distributed across specialised state-level hubs: • Bengaluru— deep-tech innovation • GIFT City— financial AI R&D • Pune— agricultural AI at scale	05 Seven Sutras Regulation A principle-based, light-touch regulatory framework balancing innovation with safeguards, particularly in high-risk sectors like healthcare and finance.	06 Infrastructure at Scale The IndiaAI Compute Platform provides shared, subsidised access to high-performance GPU clusters for startups, researchers, and public sector institutions Public infra Startups + research



IndiaAI Mission:

Building India's AI Ecosystem

An integrated framework transforming research into real-world AI deployment



01

Innovation & Application Development

HIGHLIGHTS

- ✓ Indigenous foundation models
- ✓ 500+ proposals received
- ✓ 900+ AI applications
- ✓ 30 pilot deployments



KEY IMPACT

Bridging the gap between AI research and market-ready solutions.

02

AIKosh as Public Digital Infrastructure

HIGHLIGHTS

- ✓ 10,000+ datasets
- ✓ 20 sectors covered
- ✓ 21,800+ users
- ✓ 32,000+ downloads



KEY IMPACT

Democratizing access to high-quality AI datasets.



From Digital Nation to AI Powerhouse: **The Road Ahead**

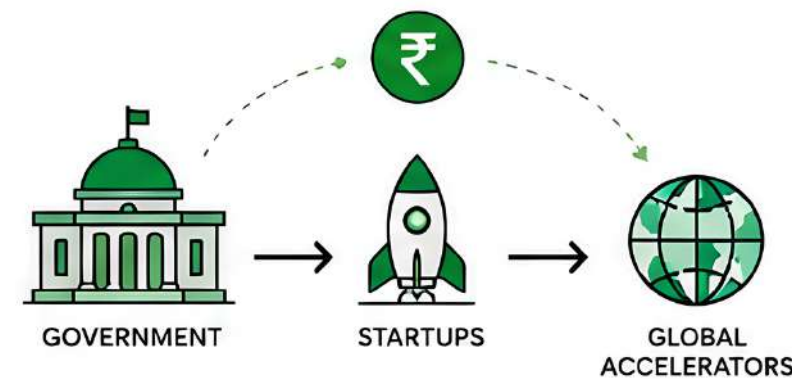
India's strategy explicitly targets the three biggest constraints in AI: compute, funding, and skills.

1 Compute Infrastructure



- 38,200+ GPUs onboarded through public provisioning
- Subsidized compute pricing (~₹65/hour)
- AIRAWAT supercomputer targeting 200 AI petaflops
- Planned scale-up to 100,000 GPUs nationally

2 Startup Financing



- ₹1,000 crore government-backed AI VC fund
- ₹247 crore allocated as GPU compute credits
- Equity-free innovation grants
- Partnerships with global accelerators (e.g., Station F, Paris)

3 Talent Development



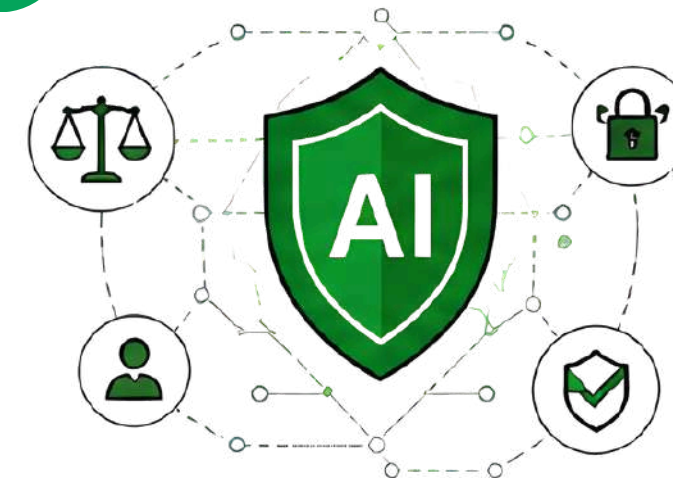
PIPELINE TARGETS

- 500 PhDs
- 5,000 postgraduate researchers
- 8,000 undergraduate researchers

PIPELINE TARGETS

- 570 AI labs planned in Tier-2/Tier-3 cities
- Target: 150,000 trained AI professionals

4 Safe and Trusted AI



IndiaAI Safety Institute (hub-and-spoke model) under development

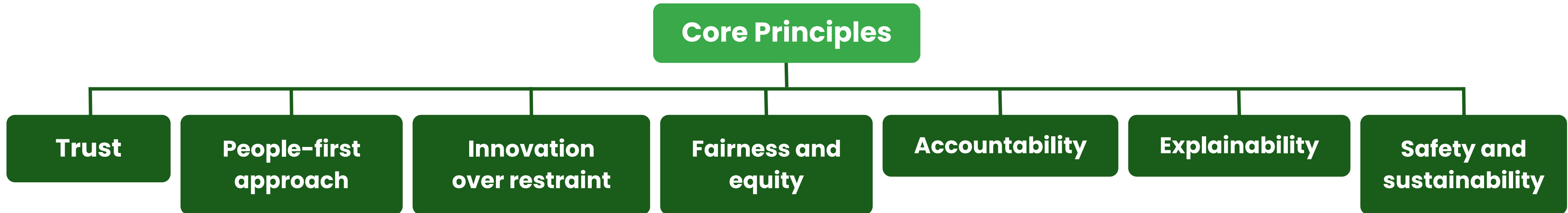
PIPELINE TARGETS

- Bias mitigation
- Deepfake detection
- Privacy-preserving AI
- 13 active responsible AI projects underway

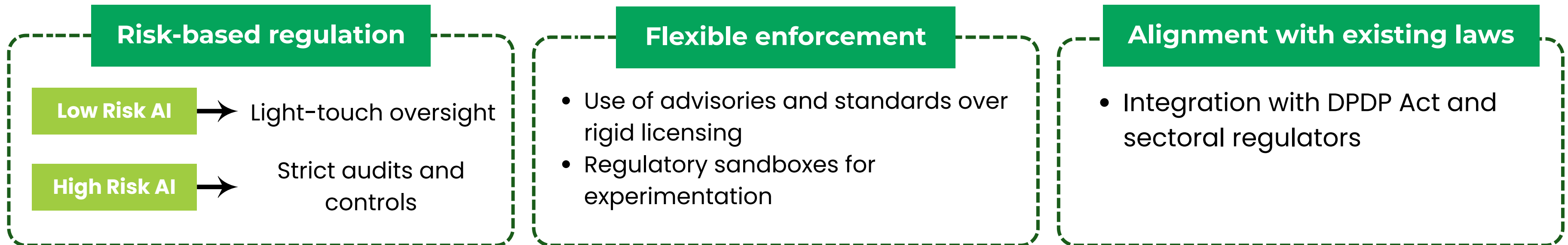


Governance Framework: The Seven Sutras

India's AI governance model is principle-based rather than rule-heavy

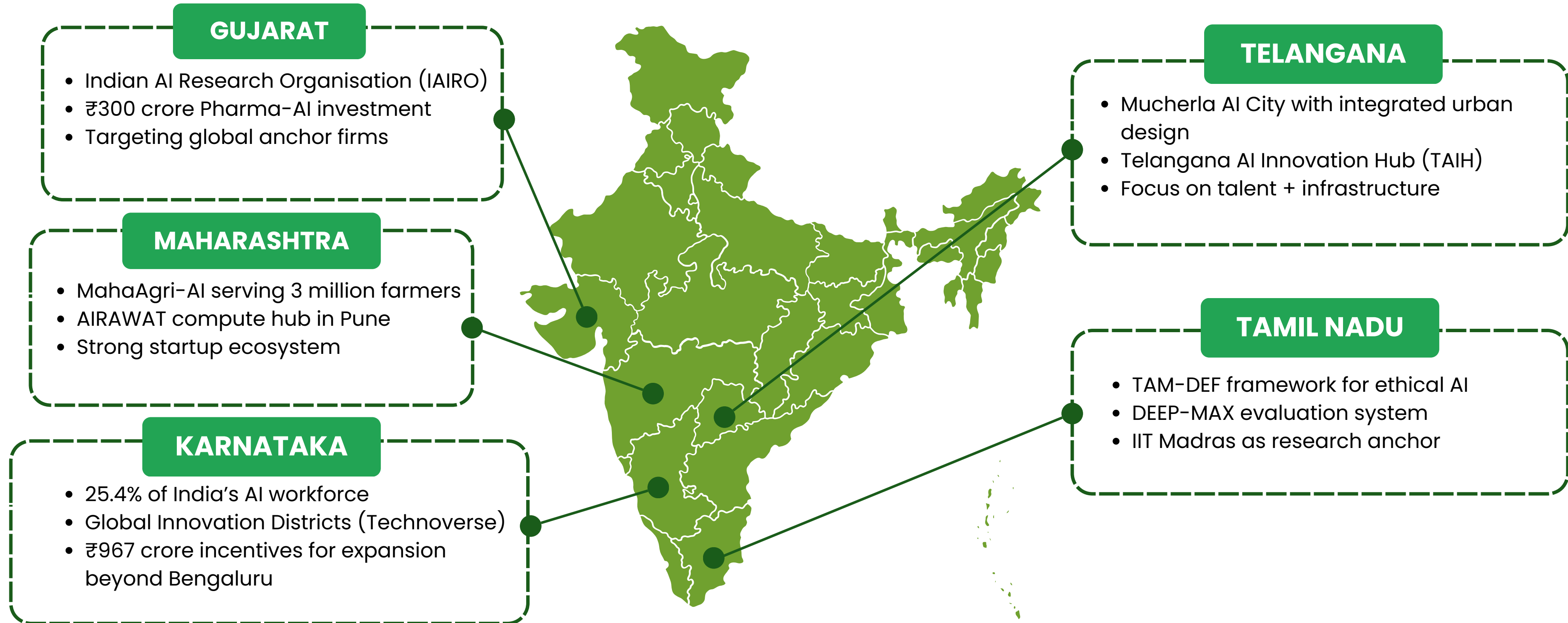


Key Features of the Framework



Competitive Federalism: State-Level Execution

AI development in India is driven by strong state-level participation



Global Benchmarking

AI development in India is driven by strong state-level participation.

Compared to global peers



CHINA

Strong state funding for startups



GERMANY

High investment in research (€3B annually)



IRELAND

Large-scale R&D funding (€700M)



SWEDEN

Strong academia–industry collaboration

India's differentiation



Integrated public infrastructure
(data + compute)



Large-scale
talent pipeline

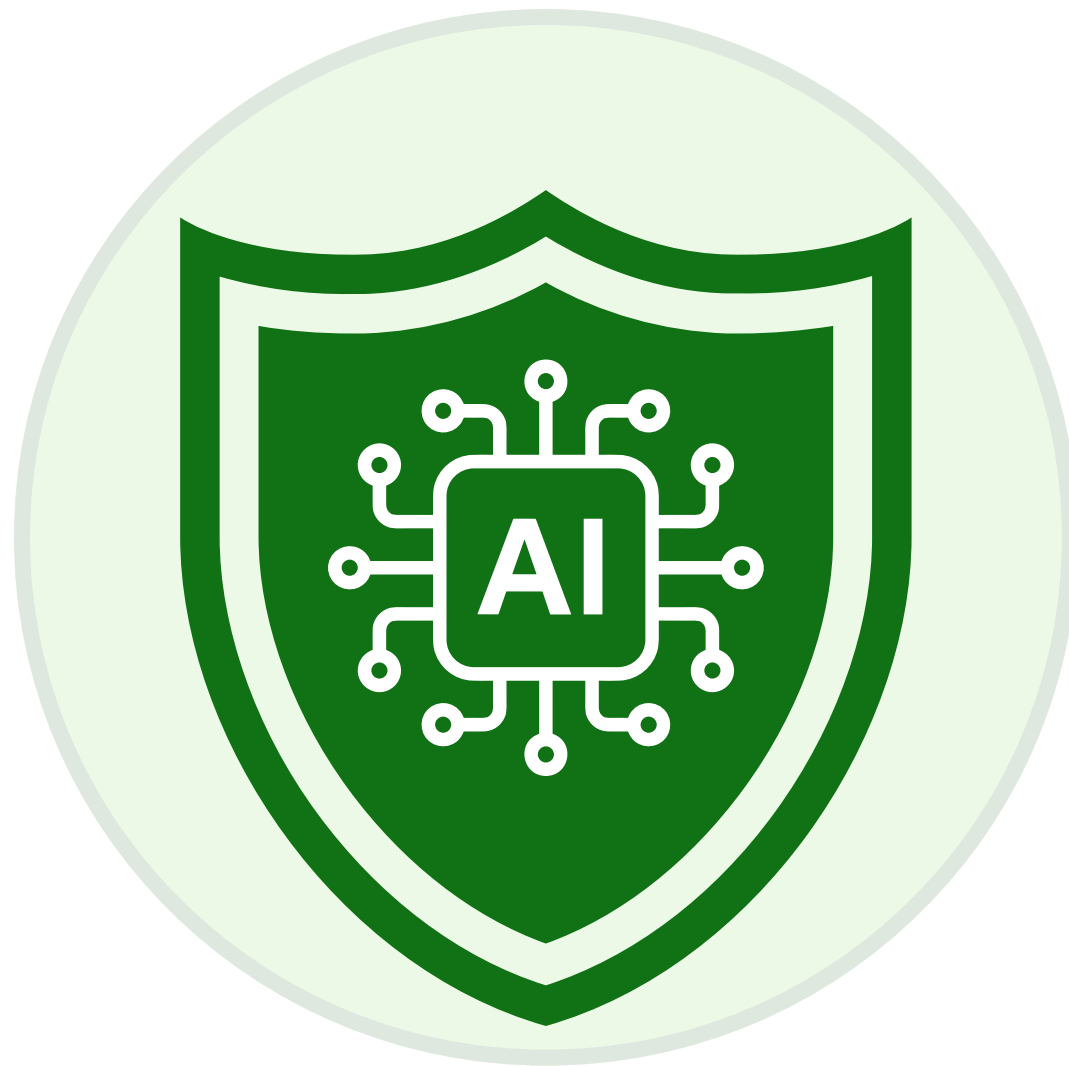


Balanced
governance model



Risk Assessment

AI Introduces Non-Linear and Systemic Risks



Managing AI risks requires a balanced approach of governance, protection, and continuous assurance.



1. KEY RISK CATEGORIES

- Malicious use (deepfakes, cyberattacks)
- Algorithmic bias
- Lack of transparency
- Systemic concentration risks
- National security threats



2. MITIGATION FRAMEWORK

- Governance – institutional oversight
- Protection – secure-by-design systems
- Assurance – continuous monitoring and explainability



3. REGULATORY PHILOSOPHY

- Proportional regulation based on risk
- Tolerant supervision for first-time failures
- Sandboxes for controlled experimentation



Case Study





2022
Founded

\$29M+
2025 Revenue

28 States
India Coverage

KARYA

AI Data Supply Chain Equity

Karya is on a mission to bring AI-based earning and learning opportunities to low-income communities. The AI revolution has created a massive amount of digital work surrounding data generation, labelling, and enrichment. From building multimodal Indic language datasets and human-in-the-loop tasks to mitigating bias and culturally-sensitive LLM evaluations, Karya's workers in rural India enable cutting-edge, inclusive AI innovations

Strategic Positioning

- Ethical Wage Architecture: \$5/hour floor
- Structured Income Ceiling: Limits for equity
- Community Access Layer: NGO/Gov partnerships

Key Achievements

- Successfully deployed models beyond India into Kenya, Ethiopia, and Indonesia
- Recognized by Microsoft Research for delivering industry-best data quality
- Built the largest Indian regional language corpus with 30,000+ young women

Challenges & Risks

- Scaling data access to hyper-local languages
- Ensuring worker financial literacy for large payouts
- Navigating complex state and local labor regulations



YELLOW.AI

Global Enterprise AI Platform



2016
Founded

\$79.5M+
2024 Revenue

1300+
Enterprise Clients

Yellow.ai is an enterprise AI platform that automates customer (CX) and employee (EX) experiences through autonomous, context-aware query resolution across more than 135 languages. Founded in 2016 and now USD 79.5M+ revenue, it enables multi-LLM orchestration, dramatically reducing hallucinations while ensuring reliable performance. The SaaS platform serves a global market, with North America as the fastest-growing region

Strategic Positioning

- Multi-LLM Orchestration: Optimized routing for performance & latency
- Conversational Data Flywheel: Continuous learning from 16B interactions
- 150+ Pre-built Integrations: Salesforce, Zendesk, etc

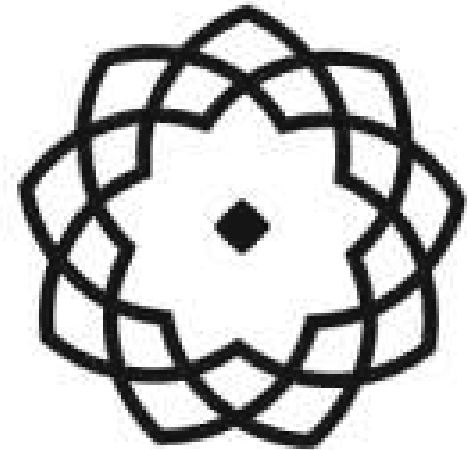
Key Achievements

- 1300+ Enterprise Clients: Global deployment across major sectors
- 85+ Countries Deployed: Proven international scalability
- <1% Hallucination Rate: High reliability in clinical-style environments

Challenges & Risks

- AI Hallucination Control: Managing rare but confident errors at scale
- Enterprise Data Privacy: Strict, diverse consent & sovereignty compliance
- Integration with Legacy Systems: Connecting with outdated data formats.





2023
Founded

\$41M
Funding

10+ Indian
Languages

SARVAM AI

India's First Full-Stack Generative AI Company

Sarvam AI is a Bengaluru-based deep-tech startup co-founded by IIT Madras alumnus Vivek Raghavan and AI4Bharat researcher Pratyush Kumar. Backed by Lightspeed Venture Partners and Peak XV (Sequoia India), it builds foundation models specifically trained on Indian languages covering speech, text, and translation

Strategic Positioning

- India-first LLM stack, not a wrapper on GPT-4
- Government partner: MeitY & BharatGPT initiative
- API-first B2B model targeting enterprises & ISVs

Key Achievements

- Highly optimized 2B-parameter text LLM.
- Deployed in UIDAI, IRCTC, banking pilots
- Open-sourced Indic text-to-speech (TTS) models

Challenges & Risks

- Scarce high-quality Indic training data
- Monetisation pace vs. hyperscaler competition
- Talent retention in a hot AI market





2023
Founded

\$1B+
Valuation

Bhavish Aggarwal
Backer

KRUTRIM

India's First AI Unicorn (at Inception)

Krutrim (Sanskrit: 'artificial') was founded by Ola CEO Bhavish Aggarwal as a standalone AI subsidiary. It became India's first AI unicorn within weeks of launch. Krutrim builds its own data centres, custom silicon (Krutrim Cloud chips), and large language models specifically optimised for Indian context, a full-stack vertical integration play uncommon even globally.

Strategic Positioning

- Vertical integration: chips to cloud to models to apps
- Consumer & enterprise API offerings (Krutrim Cloud)
- Leverages Ola's 500M+ user data ecosystem

Key Achievements

- First Indian AI unicorn \$50M seed at \$1B val
- Krutrim-2: beats GPT-3.5 on Indic benchmarks
- Own data centre infrastructure in Tamil Nadu

Challenges & Risks

- Founder concentration risk (Bhavish-led)
- Capital intensity of custom silicon build-out
- Regulatory uncertainty around AI data sovereignty





2016
Founded

\$270M+
Valuation

65+ countries
Deployed in

QURE.AI

AI-Powered Radiology & Diagnostics

Qure.ai (Mumbai) applies deep learning to radiology and pathology, automating detection of TB, stroke, lung nodules, and bone fractures from X-rays and CT scans. Founded by Prashant Warier & Pooja Rao, it is one of the few Indian health-AI firms with multiple FDA 510(k) clearances, and has processed over 10 million scans globally across LMICs and OECD markets

Strategic Positioning

- FDA & CE-cleared AI diagnostics high regulatory moat
- Targeting radiologist shortage in Tier-2/3 India & Africa
- SaaS + per-scan licensing for hospitals & NGOs

Key Achievements

- 10M+ scans processed; 30%+ increase in TB detection
- WHO & Gates Foundation programme partner
- Revenue-generating in US, UK, India & 65+ markets

Challenges & Risks

- Lengthy regulatory timelines in new markets
- Hospital data privacy & consent frameworks
- Reimbursement models for AI diagnostics still nascent



Conclusion

India's Path to AI Leadership



INFRASTRUCTURE

Strategic public investment in digital infrastructure laying the foundation for AI at scale.



GOVERNANCE

Flexible governance and regulatory frameworks that enable innovation while ensuring trust.



INNOVATION

Thriving AI ecosystem driven by research, startups, and industry collaboration.



GLOBAL COMPETITIVENESS

Transforming India into a globally competitive hub for AI talent, products, and solutions.



SUCCESS DEPENDS ON

✓ Scaling regulatory capacity alongside technological growth

✓ Managing energy and infrastructure demands sustainably

✓ Converting talent investments into globally competitive innovation



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